

without their quality deteriorating over time. Theoretically, if the borrower chose to default after a few months, the lender would have been in a soup because he would not have been able to recover the original value of the commodities if he were to take possession of them and sell them.

But the borrowers never defaulted on their interest payments and the investors were quite happy with that. They were only bothered about the interest rates, and certainly did not want a situation where they would have to sell the goods in the warehouses to recover their money.

Murmurs about how NSEL was a vyaj badla platform masquerading as a commodities spot exchange had begun doing the rounds. The Ministry of Consumer Affairs finally woke up – belatedly – and in July ordered NSEL to stop issue of fresh contracts and settle all outstanding contracts on their due dates instead of allowing them to be carried forward.

That triggered what was initially thought to be a ‘payment crisis’, but was actually the exchange’s death knell, exposing the scam underlying transactions on it. The borrowers did not have the funds to repay the lenders on the due dates. At stake was around Rs 5,600 crore of investor money to be repaid. NSEL had a settlement guarantee fund (SGF), and exchange officials tried to pacify jittery investors saying the exchange would honour their trades even if the borrowers did not. But that turned out to be a false assurance. Initially, the exchange claimed that it had around Rs 840 crore in the SGF, but a few days later said there was only Rs 65 crore. This revealed that the exchange did not have a credible risk management system. The exchange then claimed there was enough collateral (commodities) in the warehouses to repay the investors.

But the full extent of the scam became clear only a few days later when the exchange began checking the warehouses for the commodities stocked in them. The majority of the receipts turned out to be fake as the quantity of the goods in the warehouses was just a fraction of what was mentioned on the receipts. In some cases, the commodities had already been pledged to banks, but receipts had still not been issued against them. Initially, NSEL CEO Anjani Sinha said he and his management were responsible for the lapses in risk management and operations that had led to the crisis. But he later retracted his statement, saying FTIL founder Jignesh Shah was fully aware of the happenings at NSEL.

Many thought it would not be too hard to recover the funds as there were only twenty-four borrowers in all. But many of these entities had already